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WS Global CIO Office
27 February 2026

Weekly Market View

Ignore tariff noise, focus on fundamentals

➔ The latest US Supreme Court ruling implies US tariffs have peaked. The government is likely to recreate most of the lost tariffs through other statutes to meet its revenue targets, as expected.

➔ Nevertheless, the net impact of the court ruling is marginally positive for risk sentiment as it reiterates the checks and balances in the US political system.

➔ Meanwhile, the global fundamental and liquidity backdrop remains supportive of risk assets. We raise our AI capex growth estimates following strong semiconductor industry guidance.

➔ A US-Iran conflict remains a near-term risk. We see a short spike in oil prices in our base scenario. Gold is likely to continue benefitting from geopolitical uncertainty.

Prefer semiconductors over software – stronger revenue and earnings outlook

Bullish EM government bonds – US Supreme Court ruling caps tariff impact

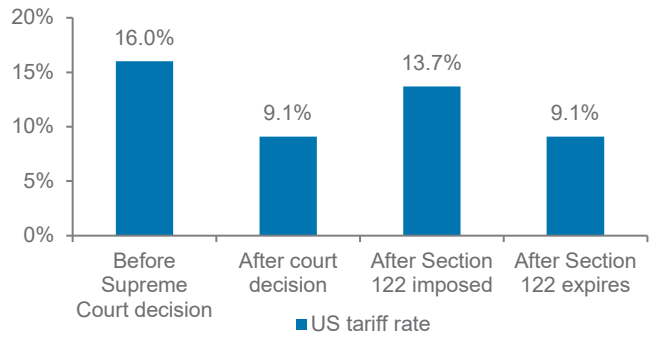
Prefer AUD bonds in carry strategies – we expect a stable AUD/CHF

Important disclosures can be found in the Disclosures Appendix.

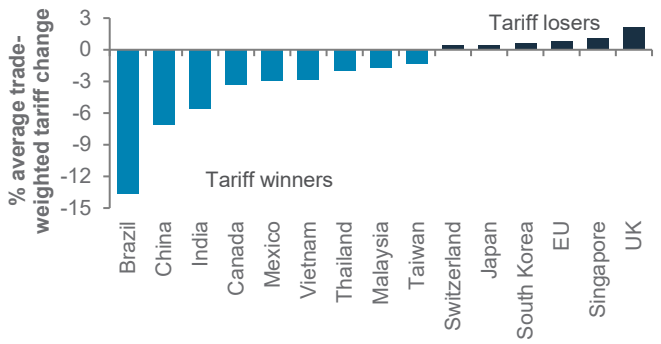
Charts of the week: Peak tariffs

The US court ruling implies US tariffs have peaked; tariffs unlikely to change much, despite near-term winners and losers

US average import tariff rate, before and after court ruling



Change in average trade-weighted US tariff rate*



Source: Bloomberg, TS Lombard, Standard Chartered; *Following shift from IEEPA tariffs to Section 122 tariffs, assuming 15% rate

Editorial

Ignore tariff noise, focus on fundamentals

Strategy summary: The latest US Supreme Court ruling implies US tariffs have peaked. The government is likely to recreate most of the lost tariffs through other statutes to meet its revenue targets, as expected. Nevertheless, the net impact of the court ruling is marginally positive for risk sentiment as it reiterates the checks and balances in the US political system.

Meanwhile, the global fundamental and liquidity backdrop remains supportive of risk assets. We raise our AI capex growth estimates following strong semiconductor industry guidance. A US-Iran conflict remains a near-term risk. We see a short spike in oil prices in our base scenario. Gold is likely to continue benefitting from geopolitical uncertainty.

Peak US tariffs: The US Supreme Court ruling restricts the president's ability to impose long-term tariffs without Congressional approval. While Trump responded by imposing a 10% tariff for 150 days under different legislation and proposed increasing the rate to 15% for several trading partners, the overall effect is that US tariffs have likely peaked, especially given their unpopularity ahead of the November mid-term elections. Our pro-risk investment strategy remains intact, anchored by strong fundamentals and supportive liquidity. "Peak US tariff", fiscal stimulus from last year's tax cuts, lower borrowing costs due to Fed rate cuts, and AI-driven investments should underpin US corporate earnings. The USD's recovery since January is likely to fade amid potential fiscal deficit concerns. (See *Market Watch* on 23 February for details).

Raising global AI capex estimates: The semiconductor industry had a strong Q4 2025 earnings season as ongoing AI investments fuel demand for high-end chips. We now forecast global AI capital expenditure growth of 54% in 2026, up from 45%, and anticipate a compounded annual growth rate of 27% between 2025 and 2030. The technology cycle for AI remains in its early stages, benefiting the semiconductor sector. Within technology, we recommend shifting from software towards sub-sectors that are direct beneficiaries of AI monetisation, such as semiconductors and internet companies (see page 4).

Oil faces short-term upside; gold to benefit from structural demand: We see a temporary rise in oil prices towards USD 70/bbl should US-Iran tensions flare before stabilising, following patterns seen in July 2025. After this spike, prices are likely to retreat toward USD 60/bbl amid ample global supply. However, sustained disruption of Mideast oil supplies could drive prices above USD 80/bbl. Gold stands to benefit both from short-term geopolitical tensions and structural demand from EM central banks and investors, supported by ongoing uncertainty. We expect gold to reach USD 5,350/oz within twelve months.

Dovish BoJ tilt? Japan PM Takaichi appointed two reflationist academics to the Bank of Japan board, signalling a more dovish monetary stance after earlier reportedly expressing concerns about rate hikes. USD/JPY, Japan bond yields and equities rose following the announcement. Money markets now expect the next BoJ rate hike in June or July, but a dovish tilt to the BoJ board could stagger rate hikes, especially after headline inflation cooled below BoJ's target for the first time since 2022.

Boost for Japan equities: Japan stocks have performed well lately even with JPY strength, which suggests domestic-driven reflation aided by Takaichi's fiscal stimulus plans is starting to become a bigger positive driver of the equity market, than JPY weakness. We are monitoring the evolving policies closely. A reflationary BoJ slant and Takaichi's apprehensions against BoJ rate hikes presents an upside risk to the equity rally.

Watching China's National People's Congress (NPC): China is expected to set a 4.5–5.0% GDP growth target at the upcoming NPC, slightly below 2025's goal, consistent with its ambition to become a "moderately developed" economy by 2035. Policy will likely aim to boost consumption and innovation, countering deflationary pressures. Modest fiscal support is likely as trade uncertainty ebbs. We expect modest cuts to bank reserve requirements and policy rates, and ongoing bond purchases. We remain bullish on China equities, particularly in technology and communication services, where valuations are more attractive than their US peers.

— **Rajat Bhattacharya**

The weekly macro balance sheet

Our weekly net assessment: On balance, we see the past week's data and policy as neutral for risk assets in the near-term

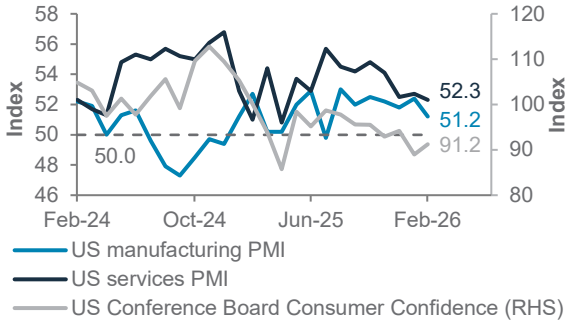
(+) factors: Robust US consumer confidence; potentially more dovish BoJ, BoE

(-) factors: Weak US mfg. and services data; elevated trade tensions

	Positive for risk assets	Negative for risk assets
Macro data	• US Conference Board consumer confidence came in above expectations at 91.2 • Euro area manufacturing PMI rose more than expected to 50.8 • German IFO business expectations and climate index beat estimates	• US S&P manufacturing and services PMIs, and Richmond Fed's mfg. index missed estimates • US headline and core PCE inflation rose more than expected • Euro area services PMI slightly missed estimates
	Our assessment: Neutral – Robust US consumer confidence vs. weak US manufacturing and services activity	
Policy developments	• Japan's government nominated two economic stimulus proponents to the nine-member BoJ board • BoE Governor Bailey signalled a possible rate cut in March	• ECB President Lagarde said central bank's interest rate policy remains 'in a good place'
	Our assessment: Neutral – Potentially more dovish BoJ, BoE vs. potential ECB pause	
Other developments		• President Trump announced a temporary 10% tariff for 150 days, with plans to raise to 15%, after the Supreme Court struck down IEEPA tariffs • Trump warned of a potential US strike on Iran, saying Iran is trying to rebuild its nuclear program • China added 20 Japanese firms to its export control list and another 20 to a watch list, restricting dual-use goods with military applications in sectors
	Our assessment: Negative – Elevated trade and geopolitical tensions	

US manufacturing and services PMIs missed estimates in February, although consumer confidence ticked up

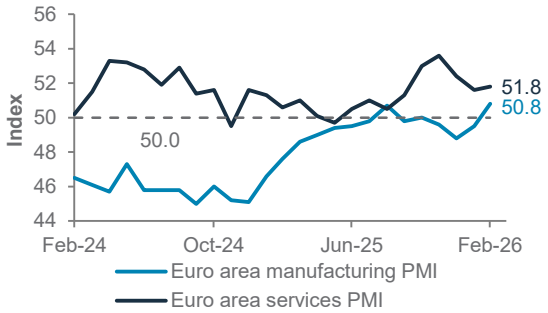
US S&P manufacturing and services PMIs; US Conference Board consumer confidence



Source: Bloomberg, Standard Chartered

Euro area manufacturing PMI rose to a 44-month high in February, while services PMI continued to expand

Euro area HCOB manufacturing and services PMIs



Source: Bloomberg, Standard Chartered

Trump has authority to impose various shorter-term or targeted tariffs

Tariff authorities available to President Trump

Available authority	Basis of action	Used under Trump 2.0 before 20-Feb	Can be imposed immedia-tely?
Section 122, Trade Act of 1974	Balance of payments crisis	No	Yes
Section 338, Tariff Act of 1930	Against countries seen "discriminating" against the US	No	Yes
Section 232, Trade Expansion Act of 1962	Against products for "national security" reasons	Yes	No; investigation required
Section 301, Trade Act of 1974	Against countries which present "burdens" to US commerce	No	No; investigation required
Section 201, Trade Act of 1974	Against products for "safeguarding" reasons	No	No; investigation required

Source: Bloomberg, Standard Chartered

Top client questions

What are the implications of the semiconductor industry's Q4 2025 earnings season?

Our view: We favour semiconductors, as it is leading the broader technology sector's earnings growth in 2026. Significant AI capital expenditure (capex) growth is also benefiting related sectors, such as utilities.

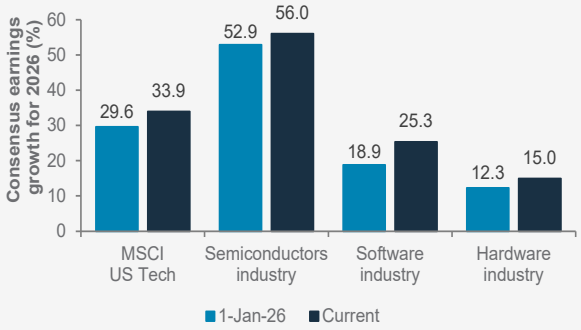
Rationale: The semiconductor industry's Q4 2025 earnings has been strong, as AI investments continue to drive strong demand and provide solid visibility into future growth. We now estimate a 2026 global AI capex growth of 54% (up from 45% previously), with a 2025-30 CAGR of 27% (from 26% previously). We are still in the **early stages of the AI investment cycle**, which will **benefit the semiconductor industry**. Consensus 2026 earnings growth estimates for the semiconductor industry have been revised up to 56% from 53%, outpacing the broader technology sector's growth.

The significant AI capex is also likely to benefit companies involved in **data centre buildout**. Thermal management and power supply are key areas in data centres. We expect demand for necessary grid upgrades to benefit providers of such services. Electric utilities could also benefit from the surge in power demand.

— **Fook Hien Yap,** *Senior Investment Strategist*

2026 earnings growth for the US semiconductor industry has been revised up to 56% from 53%, outpacing growth for the wider technology sector

Consensus 2026 earnings growth across US technology industries on 1-Jan-2026 and currently



Source: MSCI, FactSet, Standard Chartered

Will the US software sector recover from its recent slump?

Our view: Rotate from software into sub-sectors benefiting from AI monetisation, such as semiconductors and internet.

Rationale: The software sector has significantly underperformed the broader technology sector year to date (YTD). A relief rebound is possible, following partnerships announced by a leading AI research lab with other software companies, which eases concerns that AI agents will cannibalise enterprise software demand. However, near-term sentiment will likely remain pressured by **lacklustre earnings guidance** from major software players.

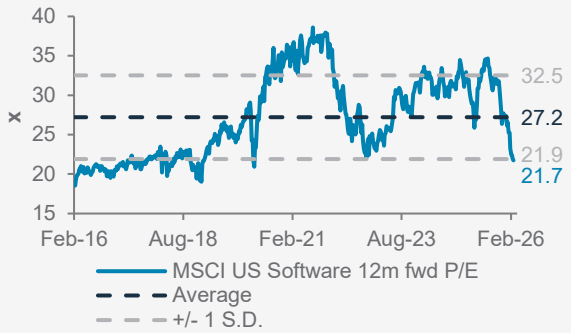
We expect the software sector volatility to persist and recommend a selective approach. There is continued pressure on front-end platforms focused on customer engagement, human resources and visualisation, as they face greater AI displacement risk. Firms with high employee cost intensity are also vulnerable to AI-driven disruption. In contrast, **infrastructure software**, including operating systems and cybersecurity, is more resilient, supported by **high switching costs and deep customer integration**.

Overall, we favour sectors benefiting directly from rising AI capex, namely internet and semiconductors, over software.

— **Michelle Kam, CFA**, *Investment Strategist*

US software industry valuations have de-rated drastically

12-month forward P/E ratio for the MSCI US Software index



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

Will the US Supreme Court tariff ruling impact US and Emerging Market (EM) bond markets in the near term?

Our view: The ruling provides short-term relief to EM assets. We remain Overweight EM USD and local currency (LCY) bonds.

Rationale: US government bonds rallied this week as risk-off sentiment intensified, largely due to recurring tariff threats, heightened geopolitical uncertainty and reduction of term-premium (the excess return that investors require for holding long-term bonds). The benchmark 10-year yield edged closer to 4%, the lower bound of our three-month target. We anticipate that upside pressure on yields will resurface, driven by fiscal volatility, as government bond supply mounts and the Trump administration explores alternative revenue sources to offset potential trade-related losses.

The court verdict invalidated several unilateral International Emergency Economic Powers Act (IEEPA)-authorised tariffs, providing a short-term relief to the EM trade landscape. The ruling axed reciprocal duties on key trade partners, such as India and Vietnam, plus additional levies on China, providing much-needed legal clarity. Combined with easing inflationary pressures, resilient global growth and a projected weakening USD, we expect EM bond credit spreads to tighten. Market focus is likely to shift to next week's National People's Congress (NPC) in China, which will shed light on the country's 2026 GDP growth target and signs of monetary shifts.

— **Cedric Lam,** *Senior Investment Strategist*

Are there any alternatives to USD bonds for carry strategies looking to avoid risk from a further USD decline?

Our view: AUD bonds are attractive relative to USD bonds due to higher yields and expectations of AUD resilience even vs. haven currencies. We have a stable AUD/CHF view as Australian policy rates rise, while the Fed cuts rates.

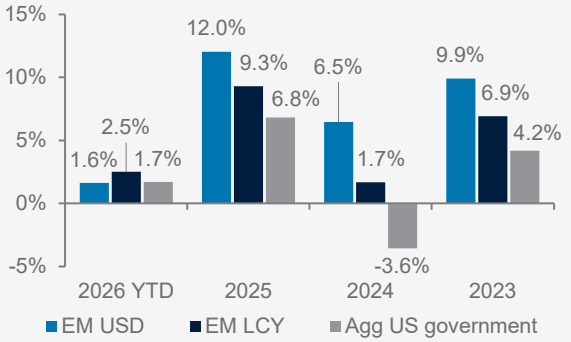
Rationale: USD weakness means carry strategies are increasingly likely to focus on more resilient currencies. The CHF has appreciated 16% vs. USD over the past year and 2.4% so far this year, hurting carry strategies based on borrowing in CHF and investing in USD assets. US policy uncertainty is likely to continue undermining the USD for a second year. This makes carry strategies increasingly vulnerable as further USD weakness erodes any extra yield pickup.

In this context, we hold a stable view on AUD/CHF. AUD government bonds offer a higher yield pickup than USD peers. Also, we believe AUD is on an appreciating path as RBA is the first Developed Market central bank to hike rates in this cycle, while we expect the Fed to cut rates further this year. This policy divergence implies AUD/CHF is likely to stabilise around 0.55 over 12 months, while the USD continues to decline vs. CHF towards 0.74 over the same period.

— **Rajat Bhattacharya**, *Senior Investment Strategist*

EM bonds have delivered solid returns alongside USD bonds

Return of EM USD, EM LCY and aggregate USD government bond indices



Source: Bloomberg, Standard Chartered

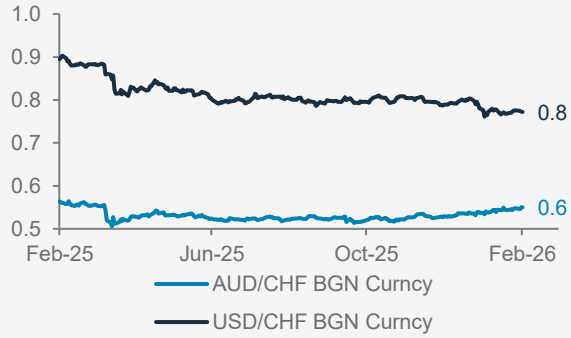
AUD government bonds offer a significant yield pickup over US government bonds

Australian and US 10-year government bond yields

Source: Bloomberg, Standard Chartered

We expect AUD/CHF to remain stable over a 12-month period, while the USD continues to depreciate against CHF

USD/CHF, AUD/CHF



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

How might Iran-US tensions affect gold and oil prices?

Our view: Our base case is a temporary oil risk premium driven by geopolitical tensions. Gold is likely to stay structurally supported beyond geopolitics.

Rationale: Rising US-Iran tensions have impacted oil prices, given potential risks to global oil supply and transit routes. Markets have tended to embed a 'geopolitical premium' into crude oil prices as such risks rise.

A base case scenario of a limited flare-up followed by gradual stabilisation, such as the June 2025 episode, is expected to result in only a modest and temporary West Texas Intermediate (WTI) oil price upside. A short-lived spike in the risk premium could lift prices towards our USD 70/bbl 3-month forecast before fading as geopolitical tensions ease.

A scenario of a more significant and/or sustained escalation, particularly one that disrupts supply, shipping routes or results in tighter sanctions, could drive a sharper and more sustained move higher, pushing prices above USD 80/bbl.

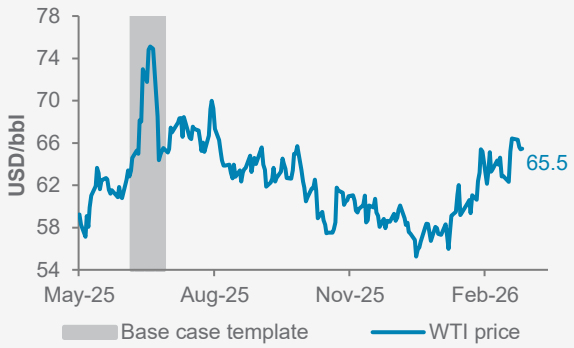
Conversely, if tensions ease following successful US-Iran negotiations, the geopolitical premium should fade, pulling oil towards our 12-month USD 60/bbl forecast, consistent with a more comfortable supply backdrop.

Gold has also benefited from the risk-off tone. However, beyond the US-Iran dynamic, it is driven more broadly by structural haven demand and trade policy uncertainty. Geopolitics could accelerate gains, but with multiple forces at play, the marginal impact from this episode alone is unlikely to generate a major standalone effect. We prefer hedging any pass-through inflation risks from higher oil by adding to US Treasury Inflation-Protected Securities (TIPS) exposure. US energy sector equities can also offer reasonable correlation to oil prices.

— **Anthony Naab, CFA**, *Investment Strategist*

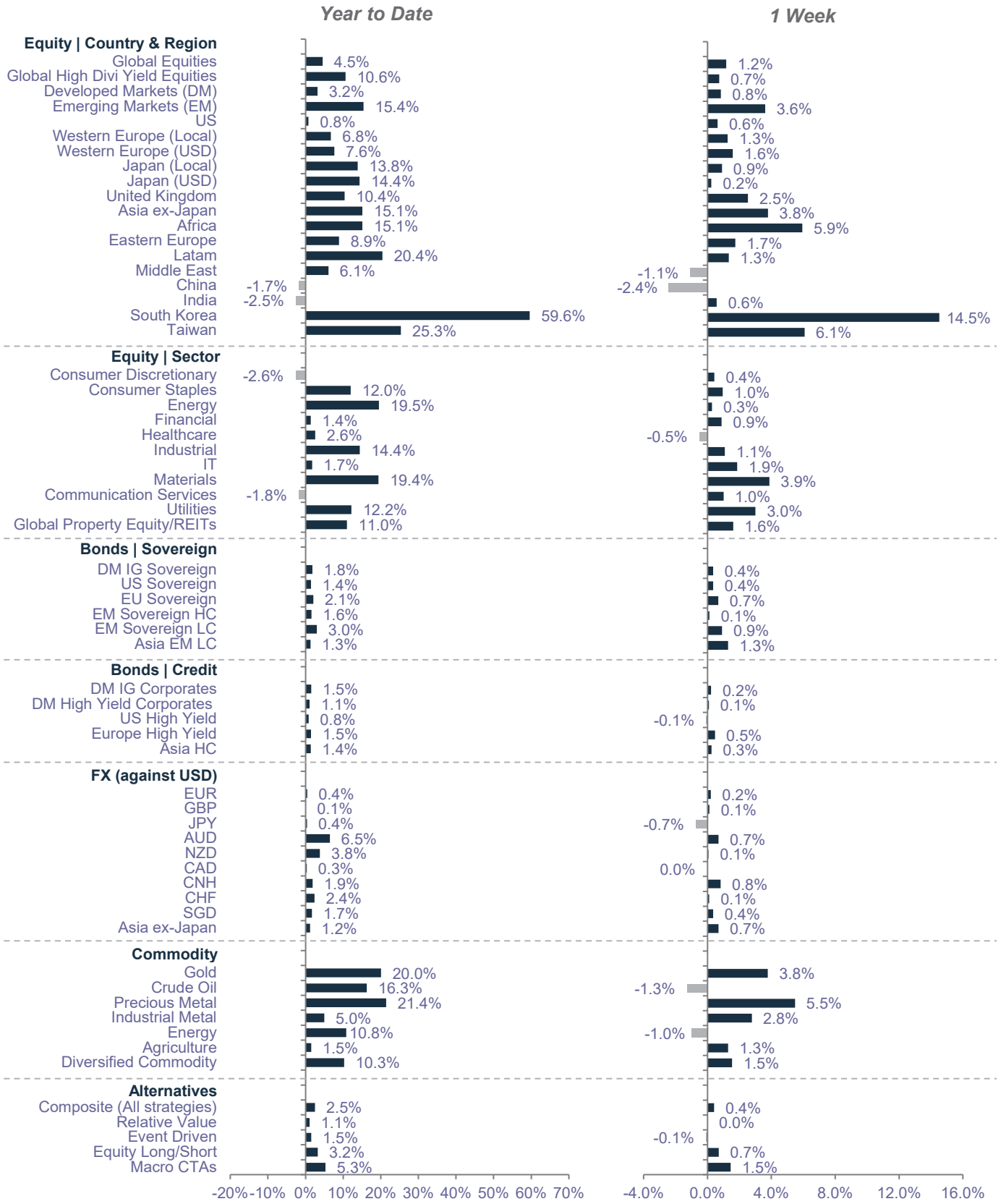
Our central scenario mirrors the June 2025 Iran nuclear episode – a temporary lift in oil prices that dissipates as tensions ease

WTI price and base case template



Source: Bloomberg, Standard Chartered

Market performance summary*



Sources: MSCI, JP Morgan, Barclays Capital, Citigroup, Dow Jones, HFRX, FTSE, Bloomberg, Standard Chartered

*Performance in USD terms unless otherwise stated, 2026 YTD performance from 31 December 2025 to 26 February 2026; 1-week period: 19 February 2026 to 26 February 2026

Our 12-month asset class views at a glance

Asset class		Preferred Sectors	
Equities	▲		
US	▲	US Technology	▲
Europe ex-UK	▼	US Healthcare	▲
UK	▼	US Utilities	▲
Asia ex-Japan	▲	Europe Healthcare	▲
Japan	▼	Europe Industrials	▲
Other EM	◆	Europe Financials	▲
		Europe Technology	▲
Bonds (Credit)	▼	China Communication	▲
Asia USD	◆	China Technology	▲
Corp DM HY	▼	China Healthcare	▲
Govt EM USD	▲		
Corp DM IG	▼	**Alternatives**	◆
Bonds (Govt)	◆	**Gold**	▲
Govt EM Local	▲		
Govt DM IG	◆		

Source: Standard Chartered Global Investment Committee

Legend: ▲ Most preferred | ▼ Less preferred | ◆ Core holding

Economic and market calendar

	Market	Event	Period	Expected	Prior
MON	USD	ISM Manufacturing	Feb	51.8	52.6
TUE	EUR	CPI y/y	Feb P	–	1.7%
	EUR	CPI Core y/y	Feb P	–	2.2%
WED	AUD	GDP y/y	4Q	–	2.1%
	CNH	Manufacturing PMI	Feb	49.1	49.3
	CNH	Non-manufacturing PMI	Feb	49.6	49.4
	EUR	PPI y/y	Jan	–	-2.1%
	EUR	Unemployment Rate	Jan	–	6.2%
	USD	ADP Employment Change	Feb	43k	22k
	USD	ISM Services Index	Feb	53.9	53.8
THU	EUR	Retail Sales y/y	Jan	–	1.3%
FRI/SAT	USD	Retail Sales Control Group	Jan	–	-0.1%
	USD	Change in Nonfarm Payrolls	Feb	60k	130k
	USD	Unemployment Rate	Feb	4.4%	4.3%

Source: Bloomberg, Standard Chartered
Prior data are for the preceding period unless otherwise indicated. Data are % change on previous period unless otherwise indicated
P - preliminary data, F - final data, sa - seasonally adjusted, y/y - year-on-year, m/m - month-on-month

The S&P500 has next interim resistance at 7,016

Technical indicators for key markets as of 26 February close

Index	Spot	1st support	1st resistance	12m forward P/E (x)	12m forward dividend yield (%)
S&P 500	6,909	6,789	7,016	21.5	1.2
STOXX 50	6,162	5,961	6,281	16.6	2.9
FTSE 100	10,847	10,373	11,088	14.5	3.2
TOPIX	3,880	3,624	4,020	18.0	2.2
Shanghai Comp	4,147	4,043	4,210	13.9	2.8
Hang Seng	26,381	25,765	27,526	11.2	3.3
Nifty 50	25,497	24,598	26,368	19.5	1.5
MSCI Asia ex-Japan	1,050	987	1,084	13.7	2.1
MSCI EM	1,619	1,526	1,669	13.1	2.4
Crude oil (WTI)	65.2	61.1	68.3	na	na
Gold	5,185	4,527	5,719	na	na
UST 10Y Yield	4.00	3.91	4.20	na	na

Source: Bloomberg, Standard Chartered
Note: These short-term technical levels are based on models and may differ from a more qualitative analysis provided in other pages

Investor diversity in Europe has fallen below key threshold

Our proprietary market diversity indicators as of 26 Feb close

Level 1	Diversity	1-month trend	Fractal dimension
Global Bonds	◐	↓	1.44
Global Equities	◐	→	1.39
Gold	◐	↓	1.34
Equity			
MSCI US	●	↑	1.81
MSCI Europe	○	↓	1.20
MSCI AC AXJ	○	↓	1.24
Fixed Income			
DM Corp Bond	◐	↓	1.48
DM High Yield	◐	→	1.31
EM USD	◐	→	1.36
EM Local	◐	↓	1.27
Asia USD	◐	↓	1.44
Currencies			
EUR/USD	◐	↓	1.48

Source: Bloomberg, Standard Chartered; **Fractal dimensions below 1.25 indicate extremely low market diversity/high risk of a reversal**

Legend: ● High | ◐ Low to mid | ○ Critically low

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WS Global CIO Office
20 February 2026

Weekly Market View

A catch-up US equity rally?

➔ US equities have underperformed Asia and Europe this year, dragged down by the technology sector. While certain tech segments such as software are likely to remain under pressure from AI developments, others such as semiconductors and AI-infrastructure providers remain big beneficiaries.

➔ Moreover, US economic activity is broadening, corporate earnings remain robust and inflation continues to cool, supporting a rally in cyclical sectors. These factors should help US equities catch up with global peers.

➔ Nevertheless, widening dispersion among equity markets and sectors, besides upcoming event risks such as a US Supreme Court ruling on tariffs and rising US-Iran tensions, suggests diversification remains key.

➔ Elsewhere, USD/CHF's break below a key support level has put pressure on carry trades solely based on CHF funding. We see risk of further CHF appreciation hurting such strategies.

Prefer Asia ex-Japan equities over Europe – stronger earnings growth projections

5-7-year GBP bonds – good balance between yields and inflation/fiscal risks

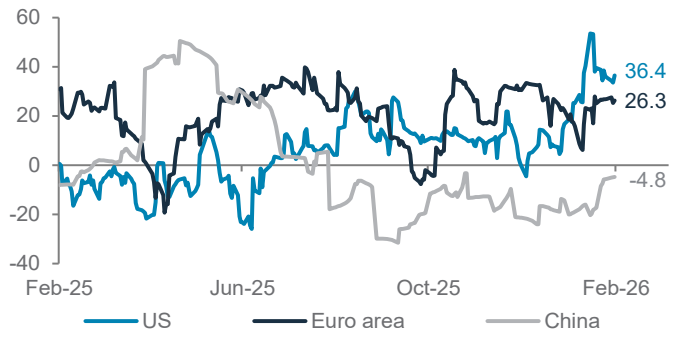
Prefer diversified FX carry strategies – USD/CHF faces further downside risks

Important disclosures can be found in the Disclosures Appendix.

Charts of the week: Positive economic surprises, strong earnings

Strong US economic data surprises and earnings estimates should help US equities close the gap with global peers

US, Euro area and China economic surprise indices



Consensus 2026 earnings growth estimates for key markets

Source: Bloomberg, FactSet, Standard Chartered

Editorial

A catch-up US equity rally?

Strategy summary: US equities have underperformed Asia and Europe this year, dragged down by the technology sector. While certain tech segments such as software are likely to remain under pressure from AI developments, others such as semiconductors remain big beneficiaries of AI. Moreover, US economic activity is broadening, corporate earnings remain robust and inflation continues to cool, supporting a rally in cyclical sectors. These factors should help US equities catch up with global peers. Nevertheless, widening dispersion among equity markets and sectors, besides upcoming event risks such as a US Supreme Court ruling on tariffs and rising US-Iran tensions, suggests diversification remains key.

Elsewhere, USD/CHF's break below a key support level has put pressure on carry trades solely based on CHF funding. We see risk of further CHF appreciation hurting such strategies.

AI concerns drive US equity underperformance: US equity benchmarks are little changed this year, significantly lagging their global peers. Japan and Emerging Markets, including our preferred Asia ex-Japan, are extending their outperformance from last year. Europe is not far behind. The US underperformance has been driven by an investor rotation from certain technology sector segments, such as software services seen most negatively impacted by AI developments, to more cyclical sectors, such as industrial, material and energy sectors. The US equity market, being more heavily weighted towards tech-related sectors compared with markets in Europe, Japan or Emerging Markets, has underperformed as a result.

Nevertheless, US technology segments benefitting from the AI-revolution, such as semiconductors and AI-infrastructure providers, have delivered strong returns. The last factor also explains why South Korea and Taiwan, the two semiconductor leaders, are the best performing major equity markets this year.

US fundamentals improving: While the US equity market lags, the economy continues to deliver more positive economic surprises than Europe and Asia. This week's data showed stronger-than-expected industrial production and core capital goods orders, along with a pickup in housing starts and building permits. This followed stronger-than-expected job creation in January. Meanwhile, US' corporate earnings growth outlook remains stronger than other major equity markets, except for Asia ex-Japan. In fact, US' 2026 earnings estimates have been upgraded in recent weeks following strong corporate guidance.

US inflation continues to cool: Alongside broadening growth, US disinflation continued in January, with headline inflation falling sharply to 2.4% y/y from 2.7%y/y in December and core inflation decelerating to 2.5%y/y, the lowest since April 2021. Barring a sustained oil price spike from any Middle East conflict, we expect the disinflationary trend to continue amid fading impact of tariffs and continued shelter disinflation. Affordability remains the top issue among the electorate going into mid-term elections in November. Although President Trump is likely to reinstate some tariffs through other statutes if the Supreme Court strikes down existing tariffs, we expect further measures to ease tariffs to cool goods inflation this year. Sustained shelter and wage disinflation is likely to lower services inflation.

Disinflation to support Fed rate cuts: Fed minutes from the latest policy meeting (which took place before the latest inflation report) showed policymakers were divided on the need for further rate cuts amid elevated inflation. However, continued disinflation is likely to enable nominated Fed Chair Warsh to convince fellow policymakers to cut rates by 75bps by year end after he takes charge in May (money markets are pricing 57bps of cuts this year, with the next cut priced for June or July).

A catch-up US rally in the offing? We expect broadening economic activity, continued disinflation and further Fed rate cuts to lift US corporate earnings outlook, enabling US equities to catch-up with global peers this year. Although the tech sector continues to drive US earnings, other sectors are expected to close the gap as the economy improves. Nevertheless, diversification and focus on quality remains key amid widening dispersion among equity markets and sectors. Hence, outside the US, we continue to prefer Asia ex-Japan equities.

The weekly macro balance sheet

Our weekly net assessment: On balance, we see the past week's data and policy as neutral for risk assets in the near-term

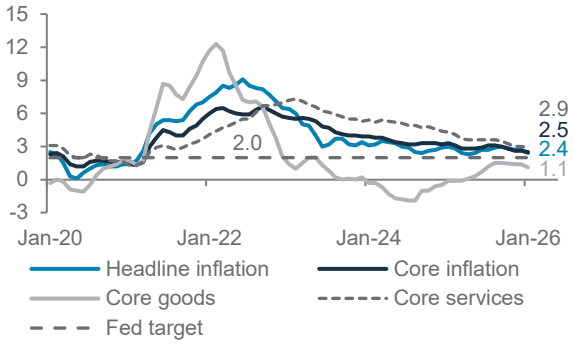
(+) factors: Cooling US inflation, improving US business activity

(-) factors: Weak Euro area, China data; divided Fed; Iran uncertainty

	Positive for risk assets	Negative for risk assets
Macro data	• US headline inflation in Jan (0.2% m/m, 2.4% y/y) was less than estimates, core inflation (0.3% m/m, 2.5% y/y) matched estimates • US core goods orders (ex-defence, ex-aircraft) rose more than expected 0.6% m/m in December • US housing starts and building permits rose more than expected in Dec • US industrial production rose more than expected 0.7% m/m in Jan	• Euro area industrial production slowed more than expected (1.2% y/y) in December • Euro area ZEW Survey of economic growth expectations slowed in Feb • China's new yuan loans fell y/y more than expected in January, although aggregate financing rose y/y due to higher government bond sales • US trade deficit widened more than expected in Dec
	Our assessment: Positive – Cooling US inflation, rising US core goods orders, housing starts, industrial production	
Policy developments		• Fed meeting minutes showed policymakers remain divided, with several mulling rate hikes if inflation remains elevated and job market improves • ECB President Lagarde is considering stepping down before her term expires in Oct 2027, according to media reports
	Our assessment: Negative – Fed policymakers mulling rate hikes, ECB's Lagarde considering stepping down	
Other developments		• A US military intervention in Iran could come sooner than expected, Axios reported, after talks in Geneva remained inconclusive
	Our assessment: Negative – Media reports suggest rising risk of US military intervention in Iran	

US disinflation continued in January, with core inflation falling to the lowest level since 2021

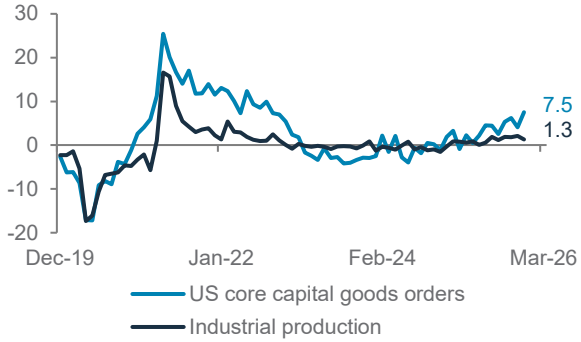
US headline, core, core goods and core services inflation; % y/y



Source: Bloomberg, Standard Chartered

US economic activity continues to broaden, with capital goods orders accelerating and industrial production beating estimates

US core capital goods orders, industrial output; % y/y



Source: Bloomberg, Standard Chartered

Euro area economic outlook remains lacklustre

Euro area ZEW survey of economic growth and inflation expectations; % balance/diffusion index

Source: Bloomberg, Standard Chartered

Top client questions

What are the recent US earnings season's key takeaways?

Our view: 2026 US earnings projections remain robust, led by the technology sector. We are Overweight technology, but we also favour diversifying into the healthcare and utilities sectors.

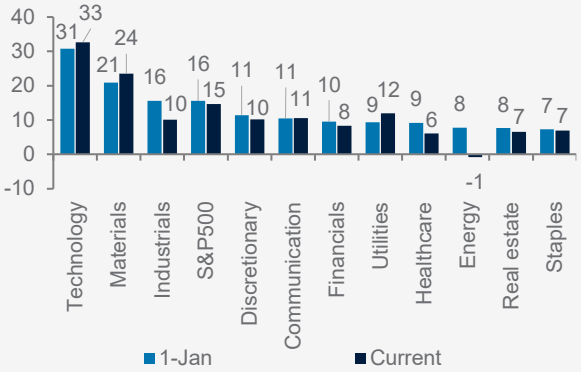
Rationale: Over 70% of S&P500 companies have reported their Q4 2025 earnings so far, with about three-quarters of them beating earnings expectations. Full-year 2025 earnings growth projections have been revised up to 14.3% from 13.3% at the start of 2026, while 2026 earnings growth expectations have moderated to 14.7% from 15.6%, with a higher base in 2025.

The technology sector is expected to lead earnings growth, with both 2025 and 2026 growth projections revised up. However, performance within technology has seen some divergence, as fears of AI disruption weigh on the software industry. While pockets of value are starting to appear in software, we prefer exposure to semiconductors and internet companies currently in the technology cycle. Furthermore, we prefer to diversify into other US sectors amid AI disruption and geopolitical risks. We believe US healthcare offers defensive earnings growth, driven by innovative medicine. Meanwhile, utilities also offers defensive earnings growth, boosted by higher electricity demand amid rapid data centre buildout.

— **Fook Hien Yap,** *Senior Investment Strategist*

US technology sector earnings projections remain higher than those for other sectors

Consensus 2026 earnings growth across sectors in the S&P500 Index on 1-Jan-2026 and currently



Source: LSEG I/B/E/S, Standard Chartered

What is your outlook for Europe and Japan equities, given their recent outperformance?

Our view: We expect Europe and Japan to lag global equities over the next 6-12 months. However, we see opportunities in European sectors through our Overweight positions in healthcare, industrials, financials and technology. Asia ex-Japan (AxJ) remains our preferred non-US market.

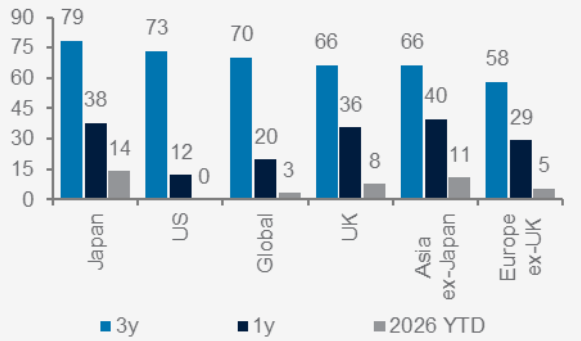
Rationale: Non-US equities' recent outperformance has occurred alongside a weaker USD, consistent with the historical pattern where a weak USD favours non-US assets. We expect the USD to remain weak, although further downside is likely limited. We believe earnings growth will instead take over as the major driver of performance over the next 6-12 months. As such, our preferred markets are AxJ (projected 2026 earnings growth of 32%) and the US (15%), while we expect Japan (10%) and Europe ex-UK (12%) to underperform due to relatively weaker earnings growth.

However, we see opportunities within Europe through a sector barbell approach, combining defensive exposure through healthcare with growth exposure through industrials, financials and technology sectors. Industrials are likely to benefit from increased infrastructure and defence spending. Financials have attractive valuations, with steady earnings growth on the back of higher long-term rates. Technology offers attractive growth in semiconductor equipment.

— **Fook Hien Yap**, *Senior Investment Strategist*

Non-US equities are outperforming so far this year, but US equities remain a strong outperformer on a longer three-year timeframe

Performance of regional equity markets over three years, one year and 2026 YTD



Source: Bloomberg, Standard Chartered. As of 19-Feb-26.

Top client questions (cont'd)

What are the implications of the latest UK data on the upcoming Bank of England (BoE) rate decision and the GBP?

Our view: We expect a BoE rate cut in March. 5-7-year GBP bonds offer attractive balance. GBP/USD to edge lower to 1.34.

Rationale: Further BoE policy easing is increasingly likely after recent data showed faster-than-expected labour market cooling. The unemployment rate rose to a near-post-pandemic high of 5.2% in January. Private-sector wage growth slowed, suggesting fading inflation pressures. January's UK consumer inflation fell to 3% y/y, the lowest level since March 2021, but services inflation eased only to 4.4%.

While a March BoE rate cut is likely, the pace and timing of further easing is less certain, given elevated services inflation. This, along with political uncertainty ahead of local elections, risks keeping UK government bond volatility high. We favour the 5-7-year maturity bucket, which we see as offering a balance between attractive yields and exposure to rate cuts, and inflation and fiscal risks.

The GBP remains caught between likely lower short-maturity UK bond yields and a weak USD. On balance, we expect GBP/USD to edge lower towards 1.34 over the next three months.

— **Anthony Naab, CFA**, *Investment Strategist*

Is the Swiss Franc (CHF) likely to strengthen further?

Our view: We expect USD/CHF to fall to 0.75 and 0.74 over the next three and 12 months, respectively. More broadly, carry trades concentrated only around the CHF are expected to continue underperforming diversified carry strategies.

Rationale: The CHF has strengthened in recent weeks, falling below the key 0.78 level, driven by USD weakness, still-high Swiss real yields and safe-haven demand. While safe-haven demand is likely to fluctuate, we expect further USD weakness and Swiss real rates to remain well-supported. Our expectation of three more Fed rate cuts in 2026, combined with largely unchanged Swiss policy rates, means the USD's interest rate advantage will continue to lessen. This narrowing gap between US and Swiss interest rates is likely to be the key driver of a weaker USD and a stronger CHF.

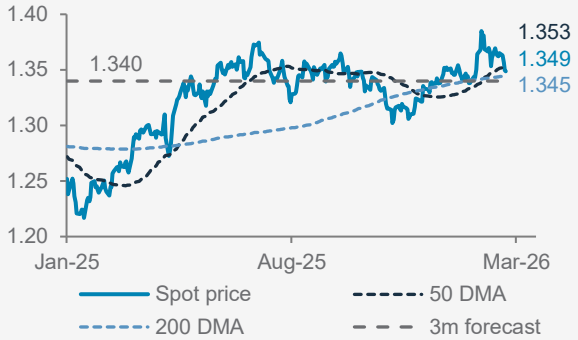
Technically, the break below 0.78 opens room for further USD/CHF downside. Any short-term rebounds are likely to stall near 0.78, a level that has held several times in recent months, suggesting further downside. Any direct Swiss National Bank (SNB) intervention in FX markets or a move to negative interest rates remain risks to our view.

We expect diversified carry strategies to outperform concentrated ones. As the chart illustrates, a USD/CHF-only carry strategy has significantly underperformed a diversified basket-based approach.

— **Manpreet Gill**, *Chief Investment Officer, AMEE*

GBP/USD is likely to weaken towards 1.34

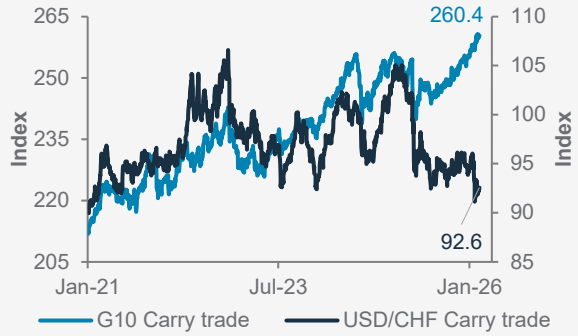
GBP/USD and technicals



Source: Bloomberg, Standard Chartered

A CHF-based carry strategy has significantly underperformed a diversified basket-based carry strategy

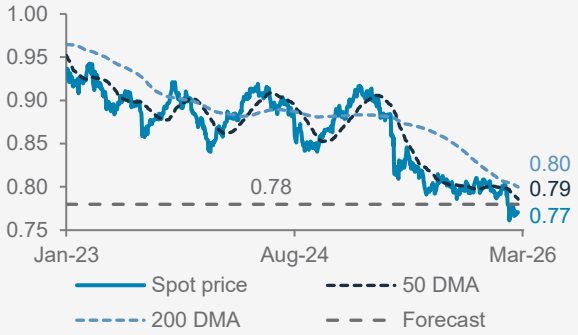
Bloomberg G10 FX Carry Index (Long top-three yielding, short bottom-three) vs. USD/CHF Carry Index



Source: Bloomberg, Standard Chartered

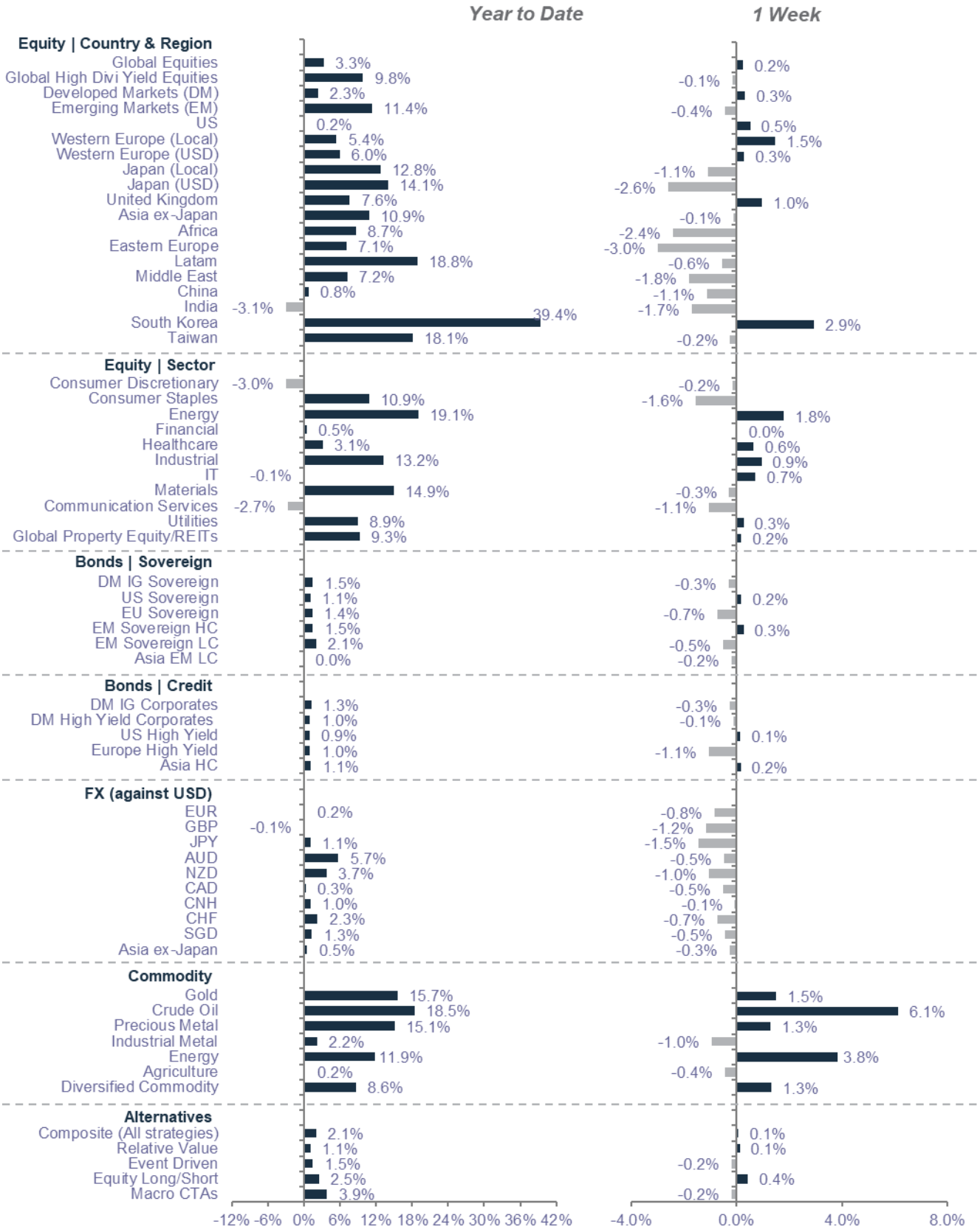
USD/CHF's break below 0.78 has opened doors to further weakness ahead

USD/CHF and technicals



Source: Bloomberg, Standard Chartered

Market performance summary*



Sources: MSCI, JP Morgan, Barclays Capital, Citigroup, Dow Jones, HFRX, FTSE, Bloomberg, Standard Chartered

*Performance in USD terms unless otherwise stated, 2026 YTD performance from 31 December 2025 to 19 February 2026; 1-week period: 12 February 2026 to 19 February 2026

Our 12-month asset class views at a glance

Asset class		Preferred Sectors	
Equities	▲		
US	▲	US Technology	▲
Europe ex-UK	▼	US Healthcare	▲
UK	▼	US Utilities	▲
Asia ex-Japan	▲	Europe Healthcare	▲
Japan	▼	Europe Industrials	▲
Other EM	◆	Europe Financials	▲
		Europe Technology	▲
Bonds (Credit)	▼	China Communication	▲
Asia USD	◆	China Technology	▲
Corp DM HY	▼	China Healthcare	▲
Govt EM USD	▲		
Corp DM IG	▼	**Alternatives**	◆
Bonds (Govt)	◆	**Gold**	▲
Govt EM Local	▲		
Govt DM IG	◆		

Source: Standard Chartered Global Investment Committee

Legend: ▲ Most preferred | ▼ Less preferred | ◆ Core holding

Economic and market calendar

	Market	Event	Period	Expected	Prior
MON	EUR	Germany's IFO Business Climate	Feb	88.2	87.6
	USD	Factory Orders	Dec	1.0%	2.7%
TUE	CNH	1-Year Loan Prime Rate	24-Feb	3.0%	3.0%
	USD	Conf. Board Consumer Confidence	Feb	88.0	84.5
WED	EUR	CPI y/y	Jan F	1.7%	1.7%
	USD	MBA Mortgage Applications	20-Feb	–	2.8%
THU	NZD	ANZ Activity Outlook	Feb	–	51.6
	EUR	Economic Confidence	Feb	99.6	99.4
	USD	Initial Jobless Claims	21-Feb	–	206k
FRI/SAT	JPY	Tokyo CPI YoY	Feb	1.4%	1.5%
	USD	PPI Final Demand YoY	Jan	--	3.0%

Source: Bloomberg, Standard Chartered
Prior data are for the preceding period unless otherwise indicated. Data are % change on previous period unless otherwise indicated
P - preliminary data, F - final data, sa - seasonally adjusted, y/y - year-on-year, m/m - month-on-month

The S&P500 has next interim resistance at 6,984

Technical indicators for key markets as of 19 February close

Index	Spot	1st support	1st resistance	12m forward P/E (x)	12m forward dividend yield (%)
S&P 500	6,862	6,758	6,984	21.4	1.2
STOXX 50	6,060	5,886	6,171	16.3	3.0
FTSE 100	10,627	10,213	10,878	14.3	3.3
TOPIX	3,852	3,610	3,991	18.0	2.2
Shanghai Comp	4,082	4,000	4,167	13.8	2.9
Hang Seng	26,706	25,982	27,743	11.5	3.3
Nifty 50	25,454	24,570	26,340	19.8	1.5
MSCI Asia ex-Japan	1,012	972	1,034	13.6	2.1
MSCI EM	1,563	1,499	1,601	13.0	2.5
Crude oil (WTI)	66.4	61.1	69.3	na	na
Gold	4,996	4,401	5,593	na	na
UST 10Y Yield	4.07	3.95	4.24	na	na

Source: Bloomberg, Standard Chartered
Note: These short-term technical levels are based on models and may differ from a more qualitative analysis provided in other pages

Investor diversity in Europe has fallen below key threshold

Our proprietary market diversity indicators as of 19 Feb close

Level 1	Diversity	1-month trend	Fractal dimension
Global Bonds	◐	↓	1.41
Global Equities	◐	↓	1.32
Gold	◐	→	1.35
Equity			
MSCI US	◐	↓	1.47
MSCI Europe	○	↓	1.18
MSCI AC AXJ	◐	↓	1.32
Fixed Income			
DM Corp Bond	◐	↓	1.41
DM High Yield	◐	→	1.27
EM USD	◐	→	1.35
EM Local	◐	→	1.31
Asia USD	◐	↓	1.43
Currencies			
EUR/USD	◐	↓	1.43

Source: Bloomberg, Standard Chartered; **Fractal dimensions below 1.25 indicate extremely low market diversity/high risk of a reversal**

Legend: ● High | ◐ Low to mid | ○ Critically low

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WS Global CIO Office
6 February 2026

Weekly Market View

An inflection in markets?

➔ Global markets have reached a critical juncture as a robust 'goldilocks' rally in equities since last April takes a pause.

➔ The positive momentum was supported by strong US corporate earnings, especially from the technology sector, and a softer US dollar, which has underpinned global risk assets. However, as the impact of Artificial Intelligence (AI) grows, the gap between winners and laggards is widening.

➔ The environment requires investors to be more selective. We believe US semiconductor and internet segments and China equities offer attractive growth prospects. Indian equities look compelling after the latest trade deals with the US and European Union.

➔ However, we remain alert to risks from rising bond yields and geopolitical events, especially this weekend's Japan snap general election. Alternative assets and gold can help buffer portfolio volatility.

Prefer semiconductor and internet segments in US tech – beneficiaries of AI wave

AUD bonds attractive – RBA rate hike concerns significantly priced in

Average back into gold – correction offers an opportunity for medium-term investors

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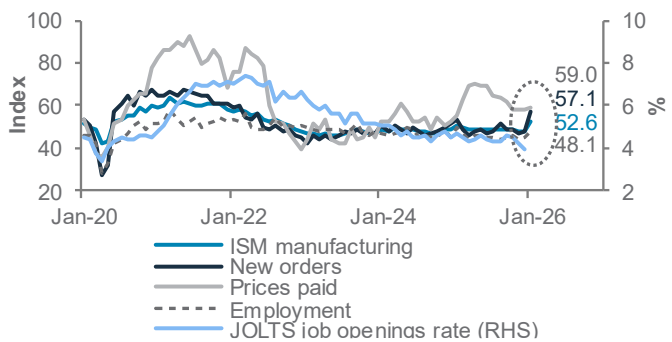
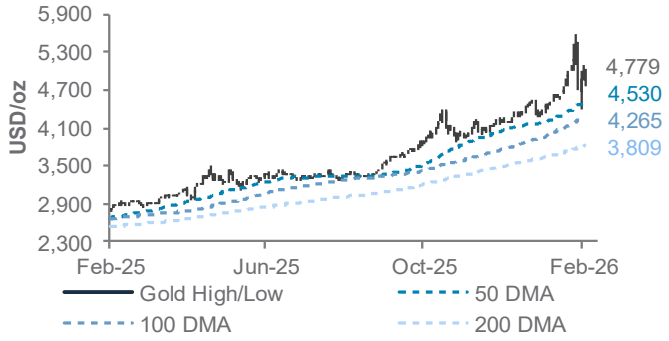
Charts of the week: A jobless recovery

US economic activity appears to be recovering, but job market remains muted; gold has bounced from a key support level

US manufacturing PMIs and job openings rate



Gold price, with 50-, 100- and 200-day moving averages



Source: Bloomberg, Standard Chartered

Editorial

An inflection in markets?

Strategy summary: Global markets have reached a critical juncture as a robust 'goldilocks' rally in equities since last April takes a pause. The positive momentum was supported by strong US corporate earnings, especially from the technology sector, and a softer US dollar, which has underpinned global risk assets. However, as the impact of Artificial Intelligence (AI) grows, the gap between winners and laggards is widening.

The environment requires investors to be more selective. We believe US semiconductor and internet segments and China equities offer attractive growth prospects. Indian equities look compelling after the latest trade deals. However, we remain alert to risks from rising bond yields and geopolitical events. Alternative assets and gold can help buffer portfolio volatility.

Bond markets at an inflection point: Long-term bond yields have risen in recent months, steepening yield curves, due to better economic data, concerns over the Fed's independence, and rising global fiscal spending. President Trump's nomination of Kevin Warsh as the new Fed Chair is unlikely to ease these worries. Warsh, who is likely to win Senate approval before taking charge in May, believes US rates should be much lower as an AI-driven productivity boom curbs inflation after temporary effects of Trump's tariffs fade (see Market Watch published on 1 February for details).

US data next key test for markets: The coming week is set to be pivotal, with the delayed release of US jobs and inflation reports for January, along with the outcome of Japan's snap general election. US manufacturing sector confidence jumped in January, led by new orders - historically a leading signal for the broader economy. However, job openings have fallen to its lowest since the pandemic, indicating a jobless recovery could be taking hold. Should forthcoming job and inflation reports disappoint, Warsh's policy easing plan could gain traction.

Japan's election to introduce bond market volatility. Polls suggest Prime Minister Takaichi's Liberal Democratic Party-led coalition is on course for a decisive win in the 8 February election. Such a result would allow Takaichi to boost fiscal spending, likely pushing up long-term Japanese (and global) bond yields. JPY also faces the prospect of further weakening, which could prompt intervention from Japanese authorities if it retests previous four-decade low of 161.95 against the USD reached in July 2024. Given the above mentioned risks, diversification into alternative assets that are less correlated with traditional asset classes looks attractive.

Upgrading US AI capex estimates on strong earnings guidance: The US tech sector remains a fundamental support for risk assets. In Q4 2025, the sector delivered 31% y/y earnings growth. We raise our AI-driven US capital expenditure growth estimates for 2026 to 45%, from 40%, and continue to prefer the high-growth semiconductor and internet segments. However, concerns over AI-led disruption have led to a significant underperformance of the software segment. This presents value opportunities in high-quality software stocks.

Gold's reversal presents a medium-term opportunity: Gold and silver have sharply corrected from extremely overbought levels, as expected. Gold has found strong support at its 50-day moving average around USD 4,400/oz, while silver tested its 100DMA near USD 64/oz. This correction offers medium-term investors a chance to average into gold. Geopolitical and fiscal policy risks and Fed independence concerns are unlikely to fade soon. We keep a 6% allocation to gold in our balanced portfolio, favouring it over silver for its defensive quality.

Indian assets get a boost from US trade deal: Indian assets received a boost following President Trump's decision to cut US tariffs on Indian goods to 18% from 50%. This policy change, coming on the heels of a landmark US-European Union free trade agreement, has soothed a longstanding geopolitical friction. The resulting optimism has driven Indian stocks to gap higher and INR to strengthen. With foreign investors likely to return, drawn by double-digit earnings growth, better valuations and a weaker currency over the past year, India, along with China, remains a preferred market within Asia ex-Japan.

— **Rajat Bhattacharya**

The weekly macro balance sheet

Our weekly net assessment: On balance, we see the past week's data and policy as neutral for risk assets in the near-term

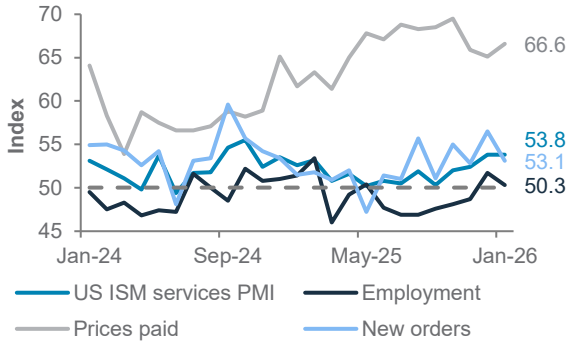
(+) factors: Robust US economic activity; BoE rate cut prospects

(-) factors: Weak US job market indicators; RBA rate hike

	Positive for risk assets	Negative for risk assets
Macro data	• US ISM manufacturing PMI beat estimates at 52.6, along with expanding new orders, and falling prices paid • US ISM services PMI came in above estimates at 53.8, despite missing on key sub-indices • Euro area core consumer inflation fell unexpectedly to 2.2% y/y, while headline inflation fell as expected to 1.7% y/y • Euro area unemployment rate fell unexpectedly to 6.3%	• US headline and core producer price inflation rose more than expected to 3.0% (0.5% m/m) and 3.3% y/y (0.7% m/m), respectively • US private sector payrolls (ADP) rose less than expected by 22,000 in Jan • US job openings fell to the lowest level since 2020 • China manufacturing and non-manufacturing PMIs came in below estimates and slipped back into contraction
	Our assessment: Neutral – Robust US manufacturing and services activity vs. weak US job market indicators	
Policy developments	• President Trump named Kevin Warsh as the next Fed Chair; Warsh is expected to push for more rate cuts this year • BoE voted a narrow 5-4 to hold rates; Governor Bailey's dovish comments raised the chance of a rate cut in March	• RBA raised its policy rate by 25bps to 3.85%, citing higher-than-expected inflation • Fed's Bowman and Musalem signalled slower rate cuts ahead • ECB kept rate unchanged as expected
	Our assessment: Neutral – Potentially more dovish Fed, BoE vs. RBA rate hike	
Other developments	• President Trump announced tariff cuts on Indian goods from 25% to 18% and removal of an extra 25% levy linked to India's Russian oil imports • Trump signed a bill into law to reopen most of the government after the 4-day shutdown	
	Our assessment: Positive – Easing trade tensions; US partial government shutdown end	

US ISM service sector business confidence index indicated continued expansion for the 68th straight month, despite slight dips in employment and new orders components; prices stayed elevated

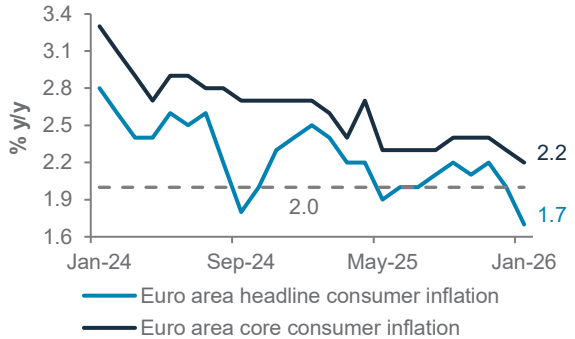
US ISM services PMI and its key sub-indices



Source: Bloomberg, Standard Chartered

Euro area has continued to see lower consumer inflation, with the headline number falling below the ECB's 2% target

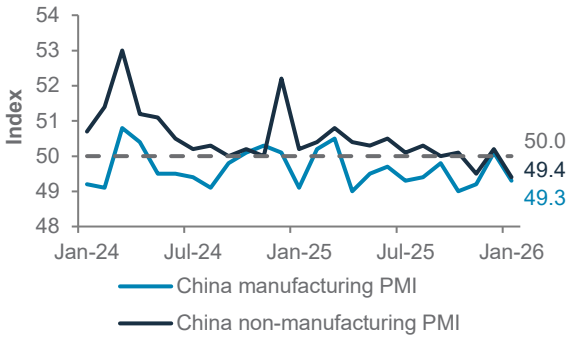
Euro area headline and core consumer inflation



Source: Bloomberg, Standard Chartered

China manufacturing and non-manufacturing PMIs fell back into contraction in January

China manufacturing and non-manufacturing PMIs



Source: Bloomberg, Standard Chartered

Top client questions

What are the key takeaways from the major US tech company earnings released this week?

Our view: Prefer semiconductor and internet stocks, as rising AI capex is a positive for memory/semicap equipment demand.

Rationale: The IT sector has delivered stellar Q4 2025 results. As of 5 February, almost all tech companies delivered above-estimate earnings, with sector-wide earnings reaching 31% y/y – the highest across all sectors in the S&P500 Index. Consensus 2026 earnings growth projections remain high at 32.3% (source: LSEG I/B/E/S).

Tech hardware and semiconductors held up well, but software and IT services underperformed, with the MSCI US Software & Services Index dropping over 20% this year. This slump largely stems from fears of the potential launch of new, disruptive AI tools.

We remain cautious on software after the recent sell-off and prefer the semiconductor and internet segments, as rising AI capex is a positive. We believe the market has unduly punished semis over the last few days due to the potential disruption risk, when in reality, semis benefit from ongoing disruption given AI apps require massive chip power to process the 'tokens' they generate.

— **Michelle Kam, CFA**, *Investment Strategist*

US tech sector earnings projections continue to outperform those of other sectors

Projected 2026 earnings growth across sectors in the S&P500 Index

Source: LSEG I/B/E/S, Standard Chartered

How will the outcome of Japan's 8 February snap election impact Japanese Government Bond (JGB) yields and the JPY?

Our view: A Liberal Democratic Party's (LDP's) snap election win would allow it to boost fiscal stimulus, further weakening the JPY. We would avoid long-tenor JGBs for now .

Rationale: The JGB yield curve has steepened since the snap election announcement. The 2- and 10-year JGB yield differential peaked at 112bps and remains elevated near 96bps. The retracement of yield is likely reflecting the market expects a LDP win but without a super majority, which could somewhat restraint the size of any fiscal expansion. A super majority win could drive yields higher, particularly on long term bonds. It may also increase political pressure on the BoJ to slow its pace of rate hikes, limiting short-end yield increases while reinforcing long-end yield concerns.

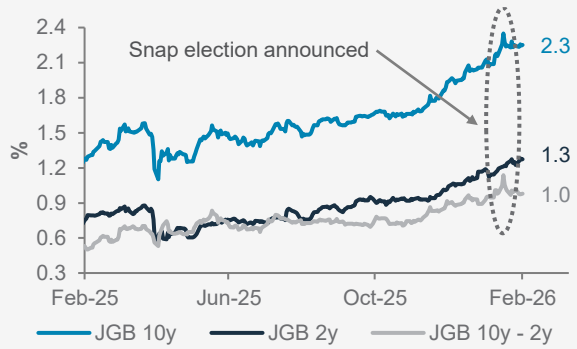
Despite increased intervention risk, we expect volatility to persist, leading us to favour short-dated maturities for JGB exposure. Consequently, USD/JPY faces near-term upside risk, with intervention risks rising as the pair approaches the 160 level. Alternatively, we see a more attractive opportunity with manageable volatility through AUD/JPY upside. The pair has maintained an uptrend channel since April 2025, with near-term resistance at 112.

— **Ray Heung**, *Senior Investment Strategist*

— **Iris Yuen**, *Investment Strategist*

Yield differential between 10- and 2-year Japanese government bonds is rising

Yield differential between 10- and 2-year JGBs



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

Has Oracle's recent success in bond raising alleviated concerns about AI capex funding capability? Would this translate into any corporate bond opportunities?

Our view: US Investment Grade (IG) corporate bond valuations are expensive. We prefer equities over corporate bonds to express our positive view on corporates.

Rationale: The successful launch of Oracle's recent USD 25bn bond offering highlights continued demand among debt investors, despite concerns tied to idiosyncratic risks. The market expects AI-related capex to exceed USD 500bn in 2026 (+40% y/y) and subsequently rise a further 17% in 2027. While operating cash flow remains solid, hyperscalers are expected to fund roughly 50% of their capex needs through debt markets. These issuances should account for a high-single digit to low-teens share of total market issuance. Given still-strong inflows into debt markets, the anticipated increase in hyperscaler bond supply should be readily absorbed.

However, US IG corporate bond valuations (which include all hyperscalers) remain elevated. We believe investors are better compensated by taking exposure to equities rather than corporate bonds, given equities' comparatively less constrained upside.

— **Ray Heung**, *Senior Investment Strategist*

US Investment Grade corporate bond yield premium is at a historical low

US IG Corporate Bond Index yield premium over benchmark US government bond

Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

Following the dramatic pullback in gold prices earlier this week, what is your tactical view? Is it now time to add gold and/or gold mining equities exposure?

Our view: Gold's correction looks technical. We recommend using pullbacks to build strategic exposure. While we closed our opportunistic idea in global gold miners on 22 January, we will consider re-engagement, should gold prices correct further.

Rationale: We believe gold's sharp decline from recent highs was primarily triggered by a rebound in real yields following the appointment of Kevin Warsh as the new Fed Chair, which prompted a reassessment of the Fed policy outlook. This trigger occurred against a backdrop of extremely overcrowded long investor positioning, which made the market more sensitive to both the move in yields and higher margin requirements from exchanges. The fall was consistent with elevated positioning and technical stretch signals, as highlighted in our 30 January *Weekly Market View*. While positioning has moderated from previously stretched levels, it remains above neutral.

Tactically, gold has found critical support around USD 4,405 (its 50-day moving average) – a level where dip-buying interest could re-emerge. Seasonal physical demand ahead of the Lunar New Year should provide near-term support. However, tactical investors should be wary of volatility as this demand typically fades post-holiday.

Structurally, we remain constructive on gold, with our 12-month target price unchanged at USD 5,350/oz. Looking back, our Overweight call since September 2025 has proven timely, with the metal rallying 39% over the period. Investors with exposure below our preferred 5-7% allocation should use renewed pullbacks to add, with the USD 4,500-4,800 range as a reference re-entry zone.

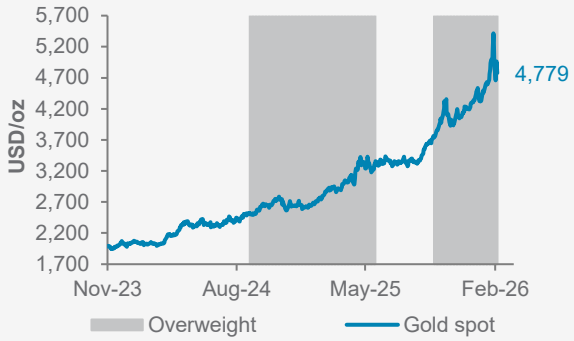
Gold mining equities continue to offer 'high-beta' exposure to rising gold prices. We chose to take profit on 22 January because the risk-reward was less compelling compared to the time when we initiated our opportunistic idea in October 2025. That said, gold miners' profit margins have fundamentally benefited from 2025's robust gold prices – outpacing the rise in costs – resulting in a substantial increase in free cash flow. This, in turn, has translated into tangible shareholder returns via dividends, share buybacks and the strengthening of balance sheets. For now, we would focus on long-term strategic exposure to gold itself. However, we continue to monitor gold mining equity sector prices for improving risk/reward.

— **Anthony Naab, CFA**, *Investment Strategist*

— **Jason Wong**, *Equity Analyst*

Our tactical overweight allocation to gold in phases have aligned with gold's strong uptrend

Spot gold and our Global Investment Committee's Overweight allocation periods



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

What are the implications of the latest US-India trade deal and the 2026 Union Budget on Indian assets?

Our view: The US-India trade deal, coupled with the growth-focused 2026 policy budget, are likely to drive the recovery in INR and Indian equities. We expect Indian equities to outperform Asia ex-Japan peers this year.

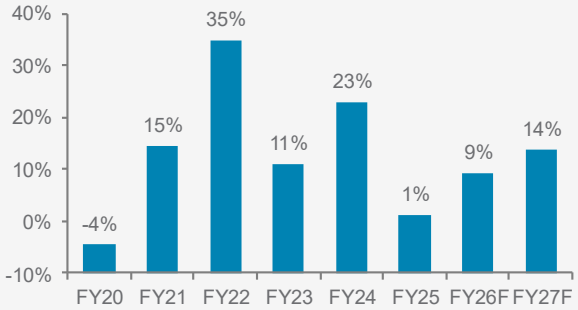
Rationale: India's 2026 Union Budget prioritised GDP growth through a slower fiscal consolidation pace and a higher capex. The budget focused on improving manufacturing and services sector competitiveness, boosting India's long-term growth prospects. US President Trump recently announced a trade deal with India and a reduction in US tariffs to 18% from 50%. This removes a major hurdle to growth and positions India's export competitiveness ahead of its peers. This is likely to help reverse record foreign investor outflows.

The US-India trade deal and the growth-focused budget support our Overweight view on Indian equities. Policy measures support a reflating economy, while equities should see support from double-digit earnings growth, attractive relative valuations to peers and very light investor positioning. The conclusion of some free trade agreements (FTAs) could support the INR by helping a resumption of capital flows and the currency's undervaluation relative to peers.

— **Michelle Castelino**, *Investment Strategist*

We expect foreign investors to return to Indian equities following recent trade deals with the US and Europe, drawn by India's double-digit earnings growth and more attractive valuations

Projected 2026 earnings growth across sectors in the Nifty Index



Source: Bloomberg, Standard Chartered

Do you expect China to impose Value-Added Tax (VAT) on the internet giants? What are the investment implications?

Our view: Rotate into infrastructure/energy segments within China offshore high-dividend state-owned enterprises (SOEs).

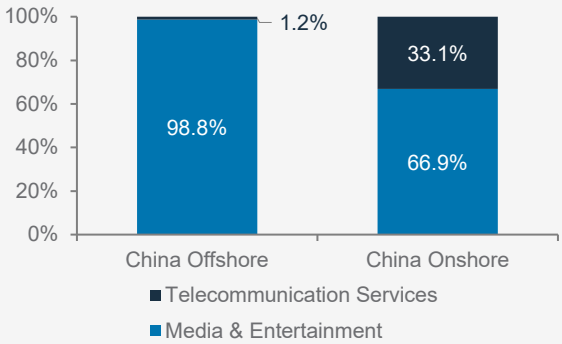
Rationale: The VAT for China-based businesses under 'telecom services' – including mobile data, SMS and broadband internet access – has risen to 9% from 6%. However, taxes for other areas, such as voice call and IT services, remain unchanged. While the reclassification could create margin pressure for big telecom firms, the overall impact on the communication services sector is limited.

Telecom players represent a relatively minor portion of the onshore (33%) and offshore (1%) communication services sectors, which remains dominated by media and entertainment. Moreover, experts and industry insiders' denial of further levies on the gaming sector likely alleviates concerns regarding a spillover onto key stocks in the telecom services sector. We do not view this as an increase in the regulatory risk on the sector, unlike what we witnessed in 2021. While we still favour offshore high-dividend non-financial SOEs, we favour rotating some funds into areas such as infrastructure and energy to offset the margin pressures.

— **Michelle Kam, CFA**, *Investment Strategist*

China's telecommunication segment represents only a small portion of the Communication Services sector

Composition of China's Communication Services sector across Onshore and Offshore indices



Source: FactSet, Standard Chartered

MSCI China index as proxy of China's Offshore market; MSCI China A Onshore index as proxy of the Onshore market.

Top client questions (cont'd)

What is your view on the EUR and the GBP, following the ECB and BoE policy meetings?

Our view: EUR/USD remains rangebound, with a bullish bias. GBP/USD faces downside risks, with support at 1.3370.

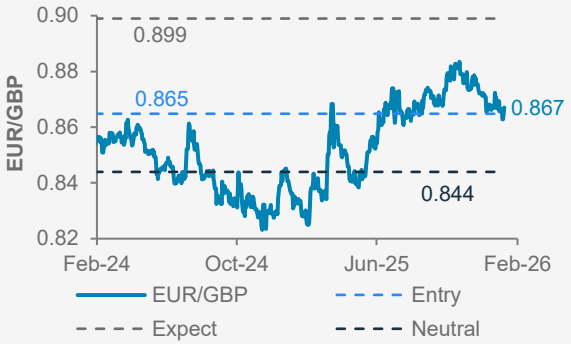
Rationale: The ECB held rates steady at 2%, as expected, with inflation remaining close to target and growth tracking near potential. Markets are pricing steady rates throughout 2026, reflecting confidence that domestic conditions remain sufficiently resilient to offset external headwinds. We see EUR/USD consolidating around 1.1810.

The BoE also held rates at 3.75%. However, the cooling UK job market raises the odds of rate cuts in the coming months. GBP/USD is likely to break below its 50-day moving average at 1.3475, paving the way for a test of the previous low at 1.3330. We see an opportunity to express the divergence in the Euro area vs. UK policy outlook through a bullish EUR/GBP idea, with a target of 0.8990.

— **Iris Yuen**, *Investment Strategist*

We expect EUR/GBP upside on policy divergence

EUR/GBP and technicals



Source: Bloomberg, Standard Chartered

What's the implication for AUD bonds and AUD/USD after the recent Reserve Bank of Australia (RBA) rate hike?

Our view: AUD bond yields are attractive. AUD/USD is likely to stay rangebound around the recent high of 0.69-0.71.

Rationale: Following the RBA's rate hike to 3.85% and upgraded inflation, growth and employment forecasts, the AUD bond yield curve bear-flattened (short-end yields rose higher than long-end ones), with the market pricing in at least one additional 25bps hike this year. Consequently, AUD/USD strengthened to 0.70.

We believe AUD bond yields are attractive. While elevated inflation expectations may keep long-end yields high and limit immediate capital gain opportunities, a major breakout of yields looks unlikely in the near term. We expect the benchmark 10-year Australia government bond yield to remain rangebound, facing strong technical resistance at 5%, with support near 4.75%. We also see AUD/USD remaining rangebound, with a bullish bias. Technical indicators suggest the pair is in overbought territory, but momentum indicators continue to point to further upside risk.

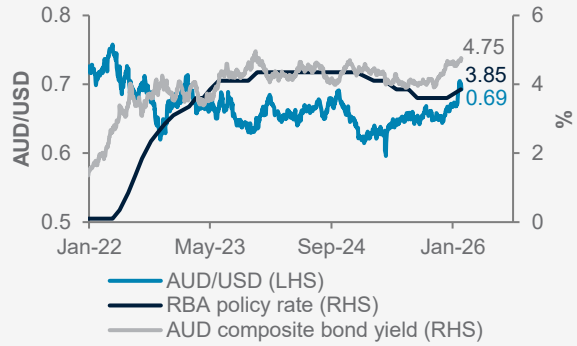
Looking ahead, tighter monetary conditions should cool the housing market and ease wage pressures, reducing the RBA's need for aggressive hikes beyond what the market has already priced.

— **Cedric Lam**, *Senior Investment Strategist*

— **Iris Yuen**, *Investment Strategist*

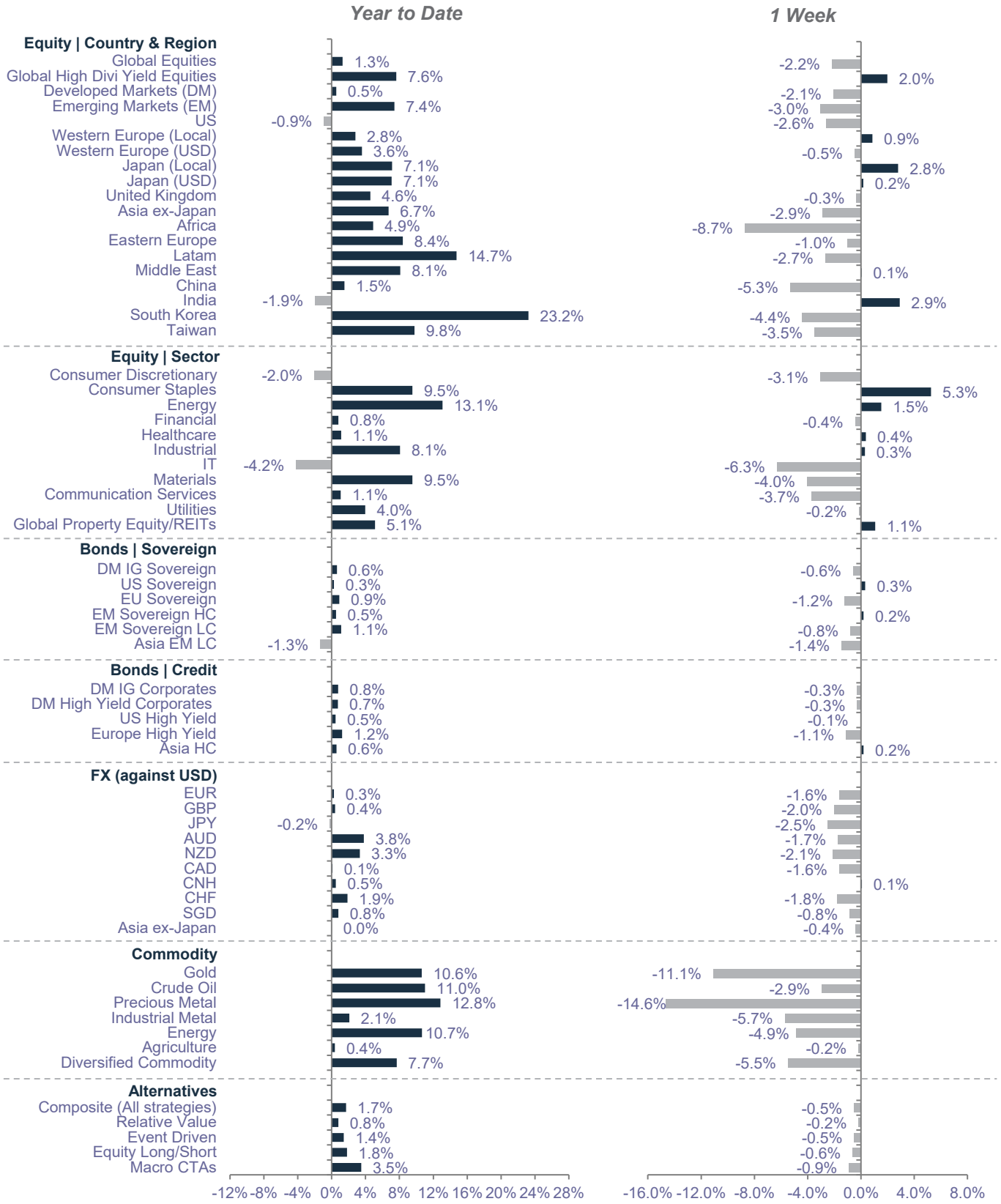
AUD bond yields are attractive; AUD/USD is likely to be rangebound around recent highs

Bloomberg AusBond Composite 0Y+ Index, RBA policy rate, AUD/USD



Source: Bloomberg, Standard Chartered

Market performance summary*



Sources: MSCI, JP Morgan, Barclays Capital, Citigroup, Dow Jones, HFRX, FTSE, Bloomberg, Standard Chartered

*Performance in USD terms unless otherwise stated, 2026 YTD performance from 31 December 2025 to 5 February 2026; 1-week period: 29 January 2026 to 5 February2026

Our 12-month asset class views at a glance

Asset class		Preferred Sectors	
Equities	▲		
US	▲	US Technology	▲
Europe ex-UK	▼	US Healthcare	▲
UK	▼	US Utilities	▲
Asia ex-Japan	▲	Europe Healthcare	▲
Japan	▼	Europe Industrials	▲
Other EM	◆	Europe Financials	▲
		Europe Technology	▲
Bonds (Credit)	▼	China Communication	▲
Asia USD	◆	China Technology	▲
Corp DM HY	▼	China Healthcare	▲
Govt EM USD	▲		
Corp DM IG	▼	**Alternatives**	◆
Bonds (Govt)	◆	**Gold**	▲
Govt EM Local	▲		
Govt DM IG	◆		

Source: Standard Chartered Global Investment Committee

Legend: ▲ Most preferred | ▼ Less preferred | ◆ Core holding

Economic and market calendar

	Market	Event	Period	Expected	Prior
MON	CNH	Money Supply M2 y/y	Jan	8.3%	8.5%
	EUR	Sentix Investor Confidence	Feb	–	-1.8
TUE	USD	NFIB Small Business Optimism	Jan	99.5	99.5
	USD	Retail Sales Ex Auto and Gas	Dec	0.5%	0.4%
WED	CNH	PPI y/y	Jan	-1.6%	-1.9%
	CNH	CPI y/y	Jan	0.3%	0.8%
	USD	Change in Nonfarm Payrolls	Jan	71k	50k
	USD	Unemployment Rate	Jan	4.4%	4.4%
THU	GBP	GDP y/y	4Q P	–	1.3%
	USD	Initial Jobless Claims	7-Feb	–	–
	USD	Continuing Claims	31-Jan	–	–
FRI/SAT	USD	CPI y/y	Jan	2.5%	2.7%
	USD	Core CPI y/y	Jan	2.5%	2.6%

Source: Bloomberg, Standard Chartered
Prior data are for the preceding period unless otherwise indicated. Data are % change on previous period unless otherwise indicated
P - preliminary data, F - final data, sa - seasonally adjusted, y/y - year-on-year, m/m - month-on-month

The S&P500 has next interim resistance at 6,940

Technical indicators for key markets as of 5 February close

Index	Spot	1st support	1st resistance	12m forward P/E (x)	12m forward dividend yield (%)
S&P 500	6,798	6,718	6,940	21.4	1.3
STOXX 50	5,926	5,808	6,058	16.1	3.0
FTSE 100	10,309	10,043	10,529	13.8	3.4
TOPIX	3,652	3,527	3,732	17.2	2.3
Shanghai Comp	4,076	3,989	4,177	13.8	2.9
Hang Seng	26,885	25,878	27,974	11.6	3.2
Nifty 50	25,643	24,696	26,465	20.1	1.5
MSCI Asia ex-Japan	974	943	1,006	13.6	2.1
MSCI EM	1,508	1,448	1,564	13.0	2.5
Crude oil (WTI)	63.3	57.2	67.9	na	na
Gold	4,779	4,256	5,449	na	na
UST 10Y Yield	4.18	4.10	4.28	na	na

Source: Bloomberg, Standard Chartered
Note: These short-term technical levels are based on models and may differ from a more qualitative analysis provided in other pages

Investor diversity has normalised across asset classes

Our proprietary market diversity indicators as of 5 Feb close

Level 1	Diversity	1-month trend	Fractal dimension
Global Bonds	●	↑	1.69
Global Equities	●	→	1.53
Gold	◐	→	1.35
Equity			
MSCI US	●	↑	1.93
MSCI Europe	◐	→	1.26
MSCI AC AXJ	◐	↓	1.48
Fixed Income			
DM Corp Bond	●	→	1.55
DM High Yield	◐	↓	1.31
EM USD	◐	→	1.45
EM Local	◐	→	1.33
Asia USD	●	→	1.54
Currencies			
EUR/USD	◐	↓	1.44

Source: Bloomberg, Standard Chartered; **Fractal dimensions below 1.25 indicate extremely low market diversity/high risk of a reversal**

Legend: ● High | ◐ Low to mid | ○ Critically low

standard chartered

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